Solution

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2017	Profit and loss appropriation A/c	Dr.		20,000	
April 1	General reserve A/c	Dr.		5,000	
	Workmen compensation fund A/c	Dr.		15,000	
	To Rathna Kumar's capital A/c (40,000 x 3/5)				24,000
	To Arockia Das's capital A/c (40,000 x 2/5)				16,000
	(Accumulated profit and reserve transferred to old partners' capital account in the old profit sharing ratio)				

5.4 Revaluation of assets and liabilities

When a partner is admitted into the partnership, the assets and liabilities are revalued as the current value may differ from the book value. Determination of current values of assets and liabilities is called revaluation of assets and liabilities. The reasons for revaluation of assets and liabilities are as follows:

(i) To give a true and fair view of the state of affairs of the firm and

(ii) To share the gain arising from the revaluation of assets and liabilities as it is due to the old partners.

There are two ways in which the revaluation of assets and liabilities may be dealt with in the accounts.

(a) Revised value of assets and liabilities are shown in the books

(b) Revised value of assets and liabilities are not shown in the books

5.4.1 When revised value of assets and liabilities are shown in the books

Under this method, the assets and liabilities are shown at their revised values in the books and in the balance sheet which is prepared immediately after the admission of a partner. A Revaluation account is opened to record the increase or decrease in assets and liabilities. Revaluation account is also called Profit and loss adjustment account. It is a nominal account. Revaluation account is credited with increase in value of assets and decrease in the value of liabilities. It is debited with decrease in value of assets and increase in the value of liabilities. Unrecorded assets if any are credited and unrecorded liabilities if any are debited to the revaluation account. The profit or loss arising therefrom is transferred to the capital accounts of the old partners in the old profit sharing ratio. If the total of the credit side of the revaluation account exceeds the total of the debit side, the difference is profit on revaluation. If the total of the debit side of the revaluation account exceeds the total of the credit side, the difference is loss on revaluation.

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